

All that said, one could certainly implement the Ivy 5 with moving average strategy with minimal brain damage. Yahoo Finance charting allows you to run a monthly 12-month moving average test for each asset class, and with a yearly rebalance across asset classes, you would be in DIY heaven.

But can we do better.

At the outset we mentioned that the Ivy 5 allocation concept coupled with a moving average rule is a reasonable solution. However, we also mentioned that we can improve on this model by focusing on our portfolio mission, introducing security selection, and enhancing the risk-management system. We explore each of these issues as follows.

Enhancing the Ivy 5 Concept

Improving Security Selection and Risk-Management

We explored risk-management and security selection in [Chapters 7](#) and [8](#), respectively. The evidence from [Chapter 7](#) suggested that we consider a combination of simple moving averages and time-series momentum trading signals to help us avoid massive drawdowns. This blended concept we labeled as the ROBUST approach. In [Chapter 8](#), the evidence suggested that introducing focused exposures to value and momentum can be beneficial to a portfolio, relative to market-cap-weighted passive indices. Logically, we should be able to integrate these findings into a coherent portfolio approach that can build on the Ivy 5 framework.

Of course, adding complexity to a simple model is hazardous to one's wealth, and we must tread carefully. We present three concepts that integrate our research findings into an asset allocation framework. We provide three options, because every investor is different. The first thing we asked in this chapter is, "What is your portfolio's mission?" and since this can be different for a 30-year-old compared to an 80-year-old, we present three options. They are meant to suffice for a wide swath of investors whose primary goal is to protect against inflation, preserve capital, and grow their real wealth.

But perhaps you are an investor with an extremely bearish view on bonds? Or perhaps you are extremely bullish on equities? Or maybe you think the